16 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Global equity markets were a story of two halves, with the AI-led sell-off deepening across Asia before attractive valuations and broader resilience outside AI drew investors back into US markets.

Global bond yields fell on safe-haven demand, with markets now turning to FOMC Chair Warsh's fireside chat for guidance on the Fed policy outlook. Weaker Australian labour market data meanwhile drove a further paring of market expectations for RBA tightening.

The US dollar eased alongside lower Treasury yields, although the AUD underperformed following weaker Australian labour market data.

Brent and WTI continued to diverge, while gold rallied on safe-haven demand. Copper weakened alongside the AI trade sell-off, while iron ore briefly traded below US$90/t.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.6	-0.6%
AUD/USD	0.6919	-0.8%
AUD/JPY	109.40	-0.9%
AUD/GBP	0.5212	-1.4%
AUD/NZD	1.2321	-1.2%
AUD/EUR	0.6170	-1.3%
AUD/CNH	4.6289	-0.8%
AUD/SGD	0.8871	-1.0%
AUD/HKD	5.4297	-0.8%
AUD/CAD	0.9814	-1.1%
EUR/USD	1.1215	0.5%
USD/JPY	158.11	-0.1%
USD Index	102.03	-0.5%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.63	0.00
90 day BBSY	4.84	0.02
180 day BBSY	5.22	0.01
1 year swap	4.86	-0.06
2 year swap	4.83	-0.10
3 year swap	4.83	-0.11
4 year swap	4.85	-0.12
5 year swap	4.88	-0.12
6 year swap	4.93	-0.12
7 year swap	4.98	-0.12
8 year swap	5.03	-0.11
9 year swap	5.08	-0.11
10 year swap	5.12	-0.11

Equities	Close	Change
S&P/ASX 200	8,720	-0.1%
S&P 500	7,747	0.4%
Japan Nikkei	64,426	-4.9%
Hang Seng	24,063	-1.0%
Euro Stoxx 50	6,168	-0.4%
UK FTSE100	10,840	1.1%
VIX Index	16.44	-2.5%

Commodities	Current	Change
CRB Index	417.49	0.4%
Gold	4176.70	1.7%
Copper	14347	-1.0%
Oil (WTI futures)	97.73	2.8%
Coal (coking)	266.00	0.0%
Coal (thermal)	154.70	0.9%
Iron Ore	90.15	-0.7%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.81	-0.10
10 year bond	5.22	-0.10
United States		
3-month T Bill	4.09	-0.01
2 year bond	4.75	-0.04
10 year bond	5.09	-0.10
Other (10 year yields)		
Germany	3.41	-0.05
Japan	2.90	-0.10
UK	5.37	-0.05

Sydney Futures Exchange	Current	Change
10 yr bond	5.23	0.00
3 yr bond	4.82	0.00
3 mth bill rate	4.77	0.00
SPI 200	8,843	1.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were a story of two halves overnight, with the AI-led equity sell-off deepening across Asia before attractive valuations and solid corporate earnings drew investors back into US and parts of European markets. Safe-haven demand supported global bonds and gold amid recent equity-market volatility. Attention now turns to FOMC Chair Warsh's fireside chat with the IMF in Bangkok for further guidance on the policy outlook.

- US equities reversed their recent slide, with resilience outside the AI sector and lower valuations drawing investors back into the market. The S&P 500 ended a three-day decline to gain 0.4%, while the Dow Jones led gains, rising 1.1%, and the NASDAQ edged 0.1% higher. European equities were mixed, with the Euro Stoxx 50 down 0.4% while the FTSE 100 climbed 1.1%.
- Asian markets again bore the brunt of concerns around the AI trade. The heavily AI-exposed KOSPI led declines, falling 7.6% and triggering a 20-minute trading halt, leaving the index more than 16% lower than a week ago. The Nikkei 225 also fell sharply, down 4.9%, while the Hang Seng declined 1.0%. Locally, the ASX 200 ended 0.1% lower, with weaker-than-expected labour market data prompting markets to pare expectations for further RBA tightening and helping unwind earlier losses.
- US Treasuries rallied on safe-haven demand as investors rotated out of the volatile AI trade. The 2-year yield fell 4bps, while the 10-year yield declined a sharper 10bps. Ahead of Chair Warsh's scheduled fireside chat today, futures markets assign a 27% probability to an October hike, while a December move remains fully priced, taking the implied year-end fed funds rate to 4.16%. The rally in government bonds was global, with the 10-year JGB yield falling 10bps and 10-year gilt and Bund yields both down 5bps.
- Australian government bond yields fell following weaker labour market data, with both the 3-year and 10-year yields declining 10bps. With the unemployment rate now sitting slightly above the RBA's disclosed estimate of the NAIRU, swap markets further pared expectations for additional tightening in 2026. The probability of a November hike fell to just above 12%, taking the implied year-end cash rate to 4.73%.
- The US dollar eased as Treasury yields moved lower, with the DXY down 0.5%. The AUD bucked the broader trend, falling 0.8% to 0.6919 following weaker labour market data. The sterling gained 0.6% against the greenback, while the euro rose 0.5% and the yen gained 0.1%.
- Brent declined 0.2% to US$106/bbl, while WTI continued to diverge, gaining 2.8% to US$97.7/bbl as cheaper freight for US barrels supported demand. Dated Brent remained at a sizeable premium at US$126/bbl. For refined product markets, reports that Ukraine intends to resume attacks on Russian refineries in response to strikes on Ukrainian energy infrastructure remained in focus.
- Gold gained 1.7% alongside the rally in Treasuries as safe-haven demand increased. Copper fell 1.0% amid weaker risk sentiment around the AI trade, while aluminium was unchanged. Iron ore briefly traded below US$90/t for the first time since mid-2025 before recovering to US$90.2/t, still down 0.7% on the day.

Today's key data and events

Time	Event	Exp	Prev
8:30	NZ Manufacturing PMI Sep	-	53.1pts
8:45	NZ Food Price Index Sep	-	0.3%
8:45	NZ Card Spending Sep	-	-0.5%
23:30	US Import Price Index Sep	0.9%	0.7%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US retail sales beat expectations in September, gaining 0.8% after a 1.3% gain in August. However, this strength was solely due to gasoline sales, with the ex auto series up 0.9% but ex autos and gas just 0.2% higher. The control group was weaker still at 0.1% following a 1.2% gain in August.

The **US PPI** surprised to the upside in September rising 1.3% after a 0.5% increase in August, suggesting upstream price pressures remain a concern. Ex food and energy, producer prices were up a more modest 0.7%. Over the year, headline prices are up 6.3% and the core 5.0%.

The **US Empire manufacturing survey** jumped from 7.6 in August to 25.5 in September. The **Philadelphia Fed business outlook** meanwhile fell from 37.8 to 20.9 in the month. Conditions vary considerably across the regional manufacturing markets and are in flux.

US initial jobless claims were broadly unchanged last week at 199k.

San Francisco Fed President Daly noted overnight that inflation risks are elevated but "risks are not realities". She saw no urgency to move again quickly, while holding an opinion that further tightening is likely required. **Chair Warsh** is due to speak later today in Bangkok.

Euro Area industrial production fell 0.5% in August and July was also revised down from -0.1% to -0.3%.

UK monthly GDP growth slowed from 0.4% to -0.1% in August, but that was above expectations. The 3-month cumulative gain is currently a robust 0.7%.

Local Data

Employment fell 39.3k in September. However, a 0.2ppt decline in the **participation rate** to 66.8%, equivalent to a 26.2k fall in the labour force, limited the rise in the **unemployment rate**, which edged up to 4.72% at two decimal places (see here).

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